

IAASB's Proposed Strategy for 2020–2023 and Work Plan for 2020–2021— Discussion

Objective of the IAASB Discussion

The objective of this agenda item is to present the draft Consultation Paper (CP) on the IAASB's Proposed Strategy for 2020–2023 (the Strategy) and Work Plan for 2020–2021 (the Work Plan), for discussion and approval as set out in **Agenda Item 7-A**.¹

Introduction

1. Since the September 2018 meeting, the Steering Committee (which acts as the Task Force for the development of the IAASB's Strategy and Work Plans) has focused on developing the CP on the Proposed Strategy and Work Plan. In developing the CP, the Steering Committee has taken into account the feedback received from the Board during the September 2018 IAASB meeting, the responses to the Strategy Survey and outreach. **Agenda Item 7-A** sets out the draft CP.
2. Appendix 1 to this agenda item contains an overview of the Steering Committee's activities, including outreach, since the September 2018 meeting. An extract of the draft September 2018 meeting minutes on the proposed Strategy and Work Plan is included in Appendix 2 to this agenda item.

Overarching Considerations for the Development of the CP

3. In developing the CP, the Steering Committee was of the view that it should be understandable and easy to read for a wide range of stakeholders. To this end, the Steering Committee has endeavored to keep the CP concise and has included several graphics and pictures to help with readability of the document.
4. The 2019 Work Plan has been presented as Appendix 1 to the CP to provide context for where the IAASB expects to be with its current agenda projects by the start of 2020.

Proposed Strategy for 2020–2023

5. The IAASB's proposed Strategy is included in Sections I and II of **Agenda Item 7-A**. Section I of that agenda item describes:
 - How the IAASB's Strategy has been developed;
 - The global issues, trends and developments that have been identified as likely to significantly impact the IAASB's activities in its future strategy period and specific challenges for the IAASB that arise from these matters. These matters are based on the responses to the strategy survey and outreach performed.
 - The impact of the IAASB's current strategy on its future activities.

¹ The approval of this agenda item depends on the number and extent of comments received, and the time available. In case it is decided that there is not enough time to approve the proposed Strategy and Work Plan in the December 2018 IAASB meeting, the proposed Strategy and Work Plan will be approved in the IAASB's January 22, 2019 teleconference.

- The IAASB's strategic objectives. Based on the current environment and the needs of its stakeholders the Steering Committee identified three strategic objectives:
 - Developing high-quality international standards;
 - Maintaining the relevance of the international standards, and supporting their implementation; and
 - Informing through outreach and advancing through collaboration.

These strategic objectives reflect the Steering Committee's views about how the IAASB should focus its activities in 2020–2023.

6. Although largely similar to the IAASB's three strategic objectives in 2015–2019, the emphasis is now on how the IAASB will focus its core activities. In addition, and as was made clear by the IAASB's stakeholders in the Strategy Survey, greater attention will be needed on supporting the implementation of the significant new and revised standards that have been recently completed or will be completed during 2019 and 2020.
7. Section II of **Agenda Item 7-A** sets out how the IAASB expects to manage delivery of the Work Plan, within its available capacity and resources. This Section also includes a more detailed description of the activity streams that present a more structured approach to how the IAASB will undertake its activities and include the following:
 - Research phase;
 - Developing and revising standards;
 - Developing non-authoritative practical guidance;
 - Maintenance of standards;
 - Implementation activities; and
 - Outreach.

The CP provides a broad outline of what each of these activities encompasses, but the IAASB will need to further develop specific processes and operating policies for each of these activities, having regard to the importance of due process. Time has been planned in the forward agenda for the Steering Committee to further develop its thinking on each, as well as Board plenary and breakout time.

Matters for IAASB Consideration

1. The IAASB is asked for its views on the proposed Strategy and specifically whether:
 - (a) The IAASB's proposed Strategic Objectives for 2020–2023, including the detailed description of each, adequately describes the strategic direction for the Board's medium-term activities?
 - (b) The challenges and other matters affecting the Board's future work are clearly described, and complete.
 - (c) The discussion of structures, resources and processes in paragraphs 13 and 14 of the draft CP adequately describes the current capacity of the IAASB while making it clear that change is coming?

Work Plan for 2020–2021

8. The IAASB's proposed Work Plan is included in Section III and IV of **Agenda Item 7-A**. Section III describes the criteria and key factors that affect the determination of potential actions in the strategy period and the relative priorities of those actions and their targeted timing. Section IV identifies actions, priorities and timing aligned to the strategic themes.
9. The detailed work plan in Table 2 of the CP presents the activities of the IAASB in 2020 and 2021. The 2019 forward agenda has also been presented for context regarding the carryover of projects from the earlier strategy period at the start of 2020. In 2019 the project to revise ISA 600² will be accelerated, and the Board will also turn its focus to scoping and commencing a project on Audit Evidence in 2019 and 2020. Both of these projects will consume substantial capacity of the board in 2020 and going into 2021.
10. The Board still needs to work through the specific activities it plans to undertake in relation to supporting the effective implementation of its newly revised standards (and is currently working through how this might best be achieved through relationships with others (such as the International Federation of Accountants and the national standard setters). At this stage the detailed work plan reflects activity in 2020 and 2021 relating to implementation activities of various newly revised ISAs, but limited Board plenary time. As the Board further explores these activities, it will also determine the time needed for discussions at physical Board meetings.
11. As the Board's significant ISA projects complete, it is envisioned that more time will be spent on the 'research phase' for determining and scoping new projects. The Board time has been captured as 'research activities' at this stage as it is unknown what these projects may be. As we move closer to 2020 and specific topics that are being discussed by the Board become clearer, this time will be reallocated accordingly.
12. The appendixes to **Agenda Item 7-A** provide more detail on the proposed Work Plan:
 - *Appendix 1* sets out the IAASB's Work Plan for 2019 to provide context for the IAASB's work plan in 2020.
 - *Appendix 2* describes the IAASB's projects and initiatives in 2020–2021 in more detail.

Matters for IAASB Consideration

2. The IAASB is asked for its views on the proposed Work Plan and specifically whether:
 - (a) The proposed criteria for the IAASB to determine its actions and priorities over the strategy period are appropriate for this purpose?
 - (b) The Board supports the actions described in Section IV and set out in Table 2?
 - (c) The Board agrees with the matters that the IAASB will take into account to identify appropriate future actions, and their relative priorities, as described in paragraph 25 of the CP.

² International Standard on Auditing (ISA) 600, *Special Considerations—Audits of Group Financial Statements (Including the Work of Component Auditors)*

Other Matters

13. The CP also presents a number of questions for stakeholders. The input from this consultation will help the IAASB in developing its final Strategy and Work Plan.
14. Once the CP has been approved, it will be published for a 120 day consultation period.

Matters for IAASB Consideration

3. The IAASB is asked for its views about the questions being asked, specifically whether they will enable the IAASB to be informed about the development of the final Strategy and Work Plan.
4. The IAASB is asked whether there are any other comments that need to be taken into account in finalizing the CP.

Appendix 1

Task Force Members and Activities, Including Outreach

1. The Steering Committee serves as the task force for this project. Members are:
 - Arnold Schilder, IAASB Chairman
 - Megan Zietsman, IAASB Deputy Chair
 - Fiona Campbell
 - Marek Grabowski
 - Chuck Landes
 - Imran Vanker

Steering Committee Activities since the September 2018 IAASB Discussion

2. The Steering Committee held two teleconference since the last IAASB discussion in September 2018 for the development of this CP.

Appendix 2

Extracts from Draft September 2018 Minutes³

Strategy and Work Plan 2020-2023

Mr. Montgomery and Ms. Bahlmann provided an overview of the feedback from the Stakeholder Survey on the IAASB's future strategy and work plans, and the proposed directional recommendations for the development of the Consultation Paper on the IAASB's Strategy for 2020– 2023, and related Work Plan for 2020–2021, as presented in **Agenda Items 3 and 3-A**.

The Board discussed the proposed strategic direction and generally supported the proposed way forward. In particular, the Board supported the use of structured activity streams informed by robust research and outreach, but had several suggestions for further consideration when developing the Consultation Paper. In particular, the Board was supportive of more robust activities related to information gathering and research prior to commencing a project, as well as enhanced implementation activities, which could be seen to help address part of the 'performance gap.'

The Board emphasized the need to be nimble and responsive, while continuing to have robust due process procedures for its activities. Among other matters, the Board asked the Steering Committee to further:

- Consider whether a moratorium in standard-setting is needed following the completion of the projects in the current work plan, to enable a period for transition and implementation activities. Other Board members recognized the need to continue standard-setting, and were supportive that the balance in the Board's activities indicated a shift to more time for implementation activities.
- Elaborate further on what would be included within the various structured activities, in particular the research and implementation phases. It was noted that, particularly in the research phase, a decision making process would need to feature prominently to provide transparency about the Board's decisions. The Board noted that the research phase would help with understanding the root causes of the issues, which would help determine whether standard-setting would be the most appropriate action or whether another action would be more appropriate to address the issue.
- Consider the need for a mechanism to rapidly address issues by making limited scope amendments to standards. It was noted that this would likely need a different due process.
- Consider whether the current operational model is still appropriate or whether more structural changes are needed. For example, it was suggested that the Board should be more strategic in its plenary discussions, with further consideration about whether to establish different groups that may be used for a different purpose (such as the International Financial Reporting Standards Interpretations Committee, which provides guidance on how to apply specific aspects of the International Financial Reporting Standards where implementation is unclear).
- Look beyond the four years covered by the Strategy period to identify areas where IAASB actions might be needed in the future. It was noted that having a longer horizon may help the IAASB to respond to trends on a more timely basis.
- Consider how 'measures of success' could be presented. It was emphasized that any metrics considered should include whether the revised strategic objectives have been met, and whether goals set have been achieved.

³ The draft minutes are still subject to IAASB review and therefore may still change.

IAASB Main Agenda (December 2018)

- Elaborate on what resources, both Board and Staff, will be needed in view of current and future projects and activities. In addition, the Board highlighted the importance of working more closely with other stakeholders, such as national auditing standard setters.
- Focus on what actions are needed in relation to non-financial information to enhance the relevance of the audit.

The Board also highlighted the importance of continuing outreach with stakeholders who did not respond to the Strategy Survey, especially investors and those charged with governance. Board members also emphasized that it is important to continue to understand the needs of the Board's stakeholders to stay relevant in a rapidly evolving world.

IAASB CAG CHAIR'S REMARKS

Mr. Dalkin supported the direction of the IAASB's future strategy, and encouraged the Board to further consider how technology could be used to increase the productivity of the Board (for example, videoconferencing may reduce the need to travel).

PIOB REMARKS

Mr. van Hulle generally supported the recommendations for strategic direction and suggested that the Board understand how international regulator groups approach their activities, as they faced similar issues. He highlighted the importance of the research phase to determine whether standard setting is needed or whether other actions may be more appropriate. He also noted the importance of continuing outreach to stakeholders, including Monitoring Group members, given the limited number of responses received to the strategy survey. He also highlighted the importance of addressing issues, such as fraud, that enhance the relevance of the audit.

WAY FORWARD

The Board will discuss a draft of the Consultation Paper on the Strategy for 2020–2023 and Work Plan for 2020–2021 at its December 2018 meeting, and issuance of the Consultation Paper is expected in late January 2019.